

UNIT THREE

PUBLIC FINANCE IN ETHIOPIA

2.1. Federal and Regional Finances

This topic deals with allocation of revenue raising powers, assignment of expenditure responsibilities and borrowing capacity between federal and regional government.

2.1.1. Expenditure Responsibility Assignment between Federal and Regional Government

The federal constitution assigns expenditure responsibilities to the regional states and central government. Article 94 of the constitution also mentions the following three guidelines for public expenditure policy.

- (a) “The federal government and the states shall respectively bear all financial expenditures necessary to carry out all responsibilities and functions assigned to them by law”
- (b) “The central government may grant the state emergency, rehabilitation, and development assistance and loans, due care being taken that such assistance and loans do not hinder the proportionate development of states” and
- (c) “The federal government shall have the power to audit and inspect the proper utilization of subsidies it grants to the states.”

Federal Government expenditure responsibility: Here the federal government should all the expenditure required to perform the following functions:

- Protect and defend the constitution.
- Formulate and implants the country’s policies, strategies and plan in respect of overall economic social and development matters.
- Establish and implements national standard and basic policy criteria for public health, education Science and technology as well as for the protection and prevention of cultural and historical legacies.
- Formulate and executes the country’s financial, monetary and foreign investment policies and strategies. It enacts laws for the utilization and conservation of land and other natural resources, historical sites and objects.
- Establish and administers national defense and public security forces as well as a federal police force.
- Administer national defense and public security forces as well as a federal police force.

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- Administer the National Bank, print and borrow money, mint coins, regulate foreign exchange and money in circulation;
- Be responsible for the development, administration and regulation of air, rail waterways and sea transport and major roads linking two or more states, as well as for postal and telecommunication services.
- Determine and administer the utilization of the waters or rivers and lakes linking two or more states or crossing the boundaries of the national territorial jurisdiction.
- Regulate inter state and foreign commerce. Etc

While the rest of activities are reserved for the states.

2.1.2. Tax Assignment between the Federal Government and Regional States.

The 1995 federal constitution and proclamation No. 33/1992 define the sharing of revenue between federal government and regional states. Proclamation No. 33/1992, the major legislative act to define revenue assignment between the federal government and regional states, deals with both tax base sharing and revenue sharing. According to the proclamation, the objectives considered by the government are enabling the regions to carry out the responsibilities assigned to them, encouraging regional initiatives, narrowing the development gap between regions, and promoting activities that are of common interest to regions.

The proclamation also stated the criteria employed in assigning revenue sources. They are **ownership of sources of revenue, the national or regional character of the revenue sources, convenience of tax levying and collection, levels of development and considerations of the integrated and balanced development of the economy.** The proclamation and the constitution also categorized revenue sources as federal, regional and joint as indicated below.

A. Revenue sources of federal government

Revenue sources of federal government include:

- Duties, taxes and other charges levied on the importation and exportation of goods;
- Personal income tax collected from employees of the central government and international organizations;
- Profit tax, personal income tax and sales tax collected from enterprises owned by the central government;
- Taxes collected from national lotteries and other chance winning prizes;
- Taxes collected on income from air, train and marine transport activities;

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- Taxes collected from rent of houses and properties owned by central government;
- Tax on monopolies
- Charges and fees on licenses and services issued or rendered by the central government.

B. Revenue sources of regional states

The following are revenue sources assigned to the regional states:

- Personal income tax collected from employees of the regional government and employees of private enterprises;
- Rural land use fee;
- Agricultural income tax collected from farmers not incorporated in an organization;
- Profit and sales tax collected from individual traders;
- Tax on income from inland water transport;
- Taxes collected from rent of houses and properties owned by the regional governments;
- Profit tax, personal income tax, sales tax collected from enterprises owned by the regional governments;
- Income tax, royalty and rent of land collected from small and medium scale mining activities; and
- Charges and fees on licenses and services issued or rendered by the regional governments; and
- Forest royalty

C. Shared revenues between the federal government and regional states

Joint revenues that are shared between the federal government and regional states are:

- Profit tax, personal income tax and sales tax collected from enterprises jointly owned by the federal government and regional states;
- Profit tax, dividend tax and sales tax collected from organizations that carry out business activities; and
- Profit tax, royalty and rent of land collected from large scale mining, any petroleum and gas operations.

D. Undesignated power of taxation is determined by joint secession of house of federation and house of people representatives.

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2.1.3. Borrowing

Even with transfer mechanisms indicated above, to fill the revenue expenditure gap, sub-national governments may still find themselves with inadequacy of revenue relative to expenditure. The last resort is borrowing either from domestic and/or foreign sources. In Ethiopia regional governments are granted the right to borrow from domestic sources. Domestic borrowing by regional governments, however, has been under conditional based control. The conditionality based control is clearly articulated in proclamation No. 33/1992. The proclamation indicates that regional governments can exercise their right to borrow from domestic sources according to the following procedures.

Regions submit to the ministry of finance and economic cooperation the loan amount they would want to borrow along with statements showing the relation of the requested amount to their revenue forecast, economic indicators of their region, their consolidated budget and the feasibility study of the project for which the loan is required. The next procedure is assessment of the loan request submitted by regions. The ministry to which the request is submitted evaluates the request based on the debt payment capacity of regions and the impact of the regions borrowing on the overall national deficit.

2.2. The Concept of Budgeting in Ethiopia:

The government budget represents a plan/forecast by government of its expenditures and revenues for a specified period. Commonly government budget is prepared for a year, known as a financial year or fiscal year. In Ethiopia the fiscal year is from July 7 of this year to July 6 of the coming year (Hamle 1-Sene 30 in Ethiopian calendar). Budgeting involves different tasks on the expenditures and revenues sides of government finance. On the side of expenditure, it deals with the determination of the total size of the budget (i.e. total amount of money for the year), size of outlays on different functions, and the magnitude of outlays on various activities; on the revenue side, it involves the determination of the size of the overall revenue and foreign aid.

Furthermore, budgeting also address the issue of the budget deficit (i.e. the excess of outlays over domestic revenues), and it's financing. Budgeting is not solely a matter of finance in the narrow sense. Rather it is an important part of government's general economic policy. Budget is not solely a description of fiscal policies and financial plans, rather it is a strong instrument in engineering and dynamiting the economy and its main objectives are to devise tangible directives

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and implement the long term, medium term, and annual administrative and development programs

2.2.1. Budget Structures in Ethiopia:

Budget structures are the formats that organize budget data. Budget data could be classified in different ways and for different purposes. In the early days, for instance, budget classification basically focused on providing a better understanding of the intentions and purposes of government for which funds were planned and to be spent. Later on, the budget structures started to be influenced largely by the issue of accountability. That is in addition to providing information on what the government proposed to do, the budget structures indicate the full responsibility of the spending agency. To this end the budget head or nomenclature of the budget are mostly mapped to each spending agency. This should not, however, imply unnecessarily extended and detailed structure (or mapping). Perhaps, due consideration must be taken to make the structure manageable and appropriate. The first classification of the budget is between revenue and expenditure.

a. Revenue Budget:

It represents the annual forecast of revenues to be raised by government through taxation and other discretionary measures, the amount of revenues raised this way differ from country to country both in magnitude and structure, mainly due to the level of economic development and the type of the economy. In Ethiopia, the revenue budget is usually structured into three major headings: *ordinary revenue, external assistance, and capital revenue*. Hence, the funds expected from these three sources are proclaimed as the annual revenue budget for the country. The revenue budget is prepared by the Ministry of Finance (MoF) for the federal government and by Finance Bureaus for regional governments.

Ordinary revenues include both *tax and non tax revenues*. the tax revenues being direct taxes (personal income tax, rental income tax, business income tax, agricultural income tax, tax on dividend and chance wining, land use fee and lease); indirect taxes (excise tax on locally manufactured goods, sales tax on locally manufactured goods, service sales tax, stamps and duty); and taxes on foreign trade (customs duty on imported goods,. Non tax revenues include charges and fees; investment revenue; miscellaneous revenue (e.g. gins); and pension contribution.

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The second major item in revenue budget is *external assistance*. It includes: cash grants, these are grants from multilateral and bilateral donors to finance different programs; and technical assistance in cash and material form.

The third item is capital revenue. This could be from domestic (sales of movable properties and collection of loans), external loan from multilateral and bilateral creditors mostly for capital projects, and grants in the form of counterpart fund.

b. Expenditures Budget:

Government expenditures for administration and developmental activities are handled through the expenditures budget. These expenditures are categorized into recurrent and capital expenditures. This categorization gained acceptance since the Great Depression of the 1930s especially in USA. The recurrent budget which covers the current expenditures is financed in principle by taxation (more broadly by domestic revenue from tax and non tax sources), and the capital budget which covers the acquisition of newly produced assets in the economy is financed through external borrowing and grants.

The acceptance to this categorization of expenditures is related to the general change in the perception of deficit. Prior to the 1930s, budget deficits were considered to be reprehensible and indicate bad financial management. Over the years, however, the cardinal rule of balanced budget was changed in favor of cyclical budget, and functional finance.

This change in the rule of budgeting, in turn, resulted in several approaches to measuring and understanding the deficit some of the concepts that were developed include:

- a. the public debt concept of deficit,
- b. the net worth concept of deficit,
- c. the overall deficit, and
- d. The concept of domestic deficit.

To illustrate these four approaches of measuring deficit, we can employ a simplified budget balance given in Table -1 below:

Table-1: A Simplified Budget Balance

Revenues	Expenditures
A. Tax and Non Tax Revenues	C. Recurrent Expenditure
B. Net Borrowing	D. Capital Expenditure
A + B	C + D

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The public debt concept of deficit defines budget deficit as the difference between revenue (A) and recurrent expenditures (C) and capital expenditures (D) this measure $A-(C+D)$ is equal to net borrowing (B), and the budget is considered to be balanced if net borrowing remains unchanged from previous years or is equal to zero. This approach illustrates, the understanding prior to 1930s, which emphasized balanced budget as a prudent fiscal policy.

The separation of recurrent and capital budget should, therefore, be viewed in terms of the net **worth**. The definition of these two budgets has been a common problem in most countries, however. The problem relates to delineating, which specific expenditures need to be included in the recurrent budget and which ones in the capital budget. In practice three criteria have been in use to define budget into capital and recurrent. These are sources of finance, object of expenditure, and nature of activity. Capital budgets were originally defined by western governments by the source of finance, i.e., capital expenditure is financed from loan not current revenue. The object of expenditure refers to the particular activities to be performed with that budget like, formation of fixed assets, study and design, salaries of civil servants, etc. the third criteria, the nature of activity, refers to whether the activity is short term (i.e. project) or on going (that may not terminate in a specific period), and objective specific.

In Ethiopia the definition of recurrent and capital budgets follow some combination of these criteria. That is:

1. Recurrent budget is to be covered by domestic revenue from tax and non-tax sources. But the economy could borrow to meet its capital budget.
2. The financial proclamation 57/1996 and financial regulations 17/1997 defined capital budget based on the object of expenditure. Accordingly capital budget equals capital expenditure which equals fixed assets and consultancy services.
3. Short-term activities that are project in nature are included in capital budget while those activities that are recurring and continuous in nature are put in the recurrent budget. In some instances activities with a very long life period have been entertained in the capital budget. Since fiscal year 1994/95 efforts have been exerted to identify many such projects that have been categorized under recurrent budget (projects in Education, health and Agriculture sectors). The exercise does not seem complete, as there are projects with recurring nature (e.g. Agricultural Research) though attempts have been made to isolate the investment components.

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The Expenditure Budget includes the following two types of Budgets:

Recurrent Budget and Capital Budget.

1. Recurrent Budget:

Financial proclamation 57/1996 and financial regulation 17/1997 defined only the capital budget, implicitly defining the recurrent one as a residual. To common practice, however, is to include in the recurrent budget expenditures of recurrent nature (like salaries of civil servants) and fixed assets with a multi-year life.

The recurrent budget is structured by implementing agencies (public bodies) under four functional categories: administrative and general services, economic services, social services, and other expenditures. All public bodies then fall under one of these functional categories. The budget hierarchy will then be down to sub agencies.

2. Capital Budget:

Capital budget is budget for capital expenditures. Financial proclamation 57/1996 defined capital expenditure as “an outlay for the acquisition of improvements to fixed assets, and includes expenditures made for consultancy services.” Financial regulations 17/1997 further provided a detailed definition of capital expenditures to mean:

- A. The acquisition, reclamation, enhancement as laying out of land exclusive of roads, buildings or other structures;
- B. The acquisition, construction, preparation enhancement or replacement of roads, buildings and other structures;
- C. The acquisition, installation or replacement of movable plant, machinery and apparatus, vehicles and vessels;
- D. The making of advances, grants or other financial assistance to any person towards him/her on the matters mentioned in (a) to (c) above or in the acquisition of investments; and
- E. The acquisition of share of capital or loan capital in any body corporate;
- F. Any associated consultancy costs of the above.

Capital budget could thus broadly be described as an outlay on projects that result in the acquisition of fixed assets and the provision of development services (Ministry of planning and Economic Development, 1993:4). It should therefore be noted that, capital budget has a wider coverage than simple outlays in fixed investments, since it includes expenditure on development

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services like agricultural research and transfer payments related to a project. The capital budget is presented under three functional groups viz., economic development, social development, and general development. Economic development includes production activities (agriculture, industry, etc.), economic infrastructure facilities (mining, energy, road etc.), commerce, communication, and so on. Social development includes education, health, urban development, welfare and so on. General development include services like cartography, statistics, public and administrative buildings, and the like.

2.2.3. THE BUDGET PROCESS IN ETHIOPIA:

Budgeting from the initial stage of forecasting the annual revenues and expenditures, to the final stage of approval of the annual budget by the Council of Peoples Representatives, passes through a sequential and an iterative process. This budgeting process includes:

- Preparation of the macro-economic and fiscal framework;
- Revenue forecast and determination of expenditure budget ceiling:
- allocation of expenditure budget between Federal and Regional governments;
- allocation of Federal government expenditure budget between recurrent and capital budgets:
- budget call and ceiling:
- budget review by MOFEC
- Budget hearing and defense:
- Review and recommendation:
- Submission of the budget to the council of Ministers:
- Submission of the budget to the Council of Peoples' Representatives:
- Notification and publication of the budget; and
- Allotment.

The budget process thus includes all these stages, which obviously are sequential (one after the other) and iterative. Peterson summarized the budget process into three phases: analyzing, fitting, and implementing. The analysis phase is the assembly and integration of financial data which might include processes from the formulation of macro-economic and fiscal framework to the allocation of expenditure budget between Federal and Regional governments the fitting phase is the process of prioritizing activities to fit with policy and reducing a budget to a ceiling. Referring to the budgeting processes outlined above this might range from the processes of

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allocation of Federal government expenditures budget between recurrent and capital budget down to the submission of the budget to the council of peoples' Representatives. The final paste, implementing, is distributing and using the allocation, i.e. the notification and publication of the budget, allotment and the monitoring processes.

Budget being a one-year plan prepared for the coming fiscal year it requires a time schedule (deadlines) for each and every processes that should strictly be adhered to. The time schedule is usually handled through the budget calendar. In effect the budget calendar is the major instrument to manage the budgetary process. Thus far we don't have an authoritative and binding budget calendar that could force all public bodies involved in the process of budgeting. The only dates proclaimed by law are the final approval and notification dates of the budget. Financial proclamation 57/1996 states that "the budget appropriation shall be approved by the council of peoples; Representatives by sine 30th (July 6) and all public bodies shall be notified by Hamle 7 (July 13). "the other deadlines in the process of budgeting will be set by the MOFEC who are responsible for the preparation of the recurrent and capital budgets, respectively. The MOFEC will notify the spending public bodies well ahead of time about the important deadlines, the budget ceiling and other information through the budget circular. the budgeting process usually took between six to eight months, and the MOFEC will release the budget circular around November to December.

2.3.4. THE BUDGETARY PROCESS AT THE FEDERAL LEVEL:

The budget processes at the Federal level follows sequential and iterative the steps. These steps can be explained with the help of the following Chart. Let us briefly explain these steps one by one here under:

Step one - Macro-Economic and Fiscal Framework:

The preparation of the macro-economic and fiscal framework is basically a component of the recently initiated public investment program (PIP). It is a planning practice and as stated in Ministry of Economic cooperation, the macro-economic and fiscal framework determines the overall level of government expenditures based on policies related to the role of government in the economy, government deficits, and priorities for resource allocation between regions and sectors. For the Federal government the framework is a three years forecast and will be updated each year.

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The framework is composed of macro-economic forecast and fiscal forecast. The macro-economic forecast gives the forecast of Gross Domestic product based on past performance and estimates for future years, and provides base line information in preparing the fiscal forecast. Financial Regulation 17/1997 gave the responsibility of preparing this framework to the Ministry of Economic cooperation (MOFEC). Where as, the later, establish the level of total resources available for expenditure. it provides a more detailed forecast of revenue (both Federal and Regional), end projection of expenditure. Given the policy of no borrowing from domestic banks to finance budget deficit the level of expenditure mainly depend on the amount of resources to be raised in the form of domestic revenues and external fund that include counterpart funds. Once prepared by the concerned coordinating ministries, i.e. MOFEC, it will be reviewed and approved by the Prime Minister's Office (PMO).

Step Two- Determination of Federal Government Expenditure and Subsidy to Regional Governments:

After the revenue and expenditure of the government are estimated through the fiscal framework, the PMO will decide on the shares of Federal government expenditures and subsidies Regional governments. it is known that, following the decentralization policy, Regional governments took grants from the Federal government in the form of subsidy.

Once the amount of subsidy is known, the allocation among regions is determined on the basis of a formula. Initially the formula was composed of five parameters (population, level of development, revenue generating capacity, utilization capacity, and land area). At present, however, the formula takes account of three parameters: population, the level of development, and revenue generating capacity of each region which are given a relative weight of 60%, 25% and 15% respectively. This allocation will first be prepared by MOFEC then reviewed by the PMO and finally approved by the Council of peoples' Representatives.

Step three: Allocation of Federal Expenditure between Recurrent and Capital Budget

The practice in the allocation of recurrent and capital budget is to consider the latter as a residual. That is, first the amount of budget necessary to cover such recurrent expenditures like pensions, debt servicing, wages and non-wage operating costs will be determined. The balance will then be allotted to capital expenditures. This will be performed by the PMO in consultation with MOFEC.

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Step Four - Budget Call and Ceiling Notification:

This includes two items. They are:

a). Recurrent budget: MOFEC will release the budget ceiling to the line ministries in a budget call. The budget call provides each ministry such information as the macro-economic environment, an aggregate recurrent budget ceiling, and priorities to budget.

b). Capital Budget: MOFEC issues detailed capital budget preparation guidelines to spending public bodies along with the ceilings provided to each line institution. MoED will set the ceiling for each sector.

Step Five - Budget Review by MOFEC

This includes two items. They are:

1. Recurrent Budget:

Prior to a formal budget hearing, spending public bodies will submit their budget proposals to the MoF-Budget Department. In consultation with spending public bodies, MoF will prepare an issue paper on Major issues at each head level in the proposed budget. Here, spending public bodies can submit above the ceiling but need to have a compelling justification

2. Capital Budget:

The sector departments of MOFEC review the capital budget requests from different public bodies. At this stage projects will be screened. If there exist a discrepancy between the respective sector department and the public body, a series of discussions will be held to reach agreement. After such a process the various sector departments of MOFEC will submit their first round recommendation to the Development Finance and Budget Department of MOFEC. Then it will be consolidated and prepared for the capital budget hearing and defense.

Step Six - Budget Hearing and Defense:

This includes two items. They are:

1. Recurrent Budget:

Spending public bodies defend their budget submission in a formal hearing with the MoF. The issue paper will be the basis of the hearing. The hearing focuses on policies, programs and cost issues, when necessary it might involve discussion down to line item. Spending public bodies could also challenge the ceiling. Presenting the hearing will be ministers and/or vice ministers, heads of public bodies and the MOFEC.

2. Capital Budget:

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Spending public bodies will be called to defend their projects to a budget hearing convened by the PMO which will be chaired by the prime Minister or the deputy Prime Minister or the their economic advisers. The hearing customarily includes a review of status of the project, implementation capacity of the institution, compatibility with the countries development strategy and policy, cost structure, and regional distribution. A project description will be presented which includes objectives of the project, main activities of the project, status of the project, total cost, past performance of the project, source of finance, and whether the project is accepted or rejected by MOFEC. On the basis of the discussion the respective sector departments of MoED in consultations with the spending public body will further refine the capital projects.

Step Seven - Review and recommendation:

This includes two items. They are:

1. Recurrent budget:

After the hearing is over, the budget committee of the MOFEC will review the discussion and make a recommendation. If there is an increase (over ceiling) this will go to the PMO for approval.

2. Capital budget:

After the hearing and defense with the PMO and MOFEC, sector departments of MOFEC will give a final recommendation to the development finance and budget department of MOFEC. This will then be compiled and put in appropriate formats for submission to the council of ministers.

Step Eight: Submission to the council of Ministers:

At this stage the two budgets (recurrent and capital) will be consolidated, and MOFEC will prepare a brief analysis of the total budget.

1. Recurrent budget:

The recommended budget will be submitted to the deputy Prime Minister for economic affairs. This will first be reviewed by ministers and vise ministers in economic affairs, and then presented to the Prime Minister along with a brief. The Prime Minister may or may not make amendments and then the budget will be sent to the council of Ministers for discussion.

2. Capital Budget:

A brief analysis of the capital budget will be prepared by MOFEC on the final recommended budget and, along with the consolidated capital budget, will be submitted to the council of

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ministers. MOFEC will defend the budget in the council. The council of ministers may make some adjustment and the draft capital budget will pass the first stage of approval.

Step Nine - Submission to the Council of Peoples' Representatives: Once approved by the council of ministers, the Prime Minister will present both the recurrent and capital budget to the council of peoples' representatives. The budget will then be debated based on the recommendation of the budget of the committee.

Step Ten - Notification and Publication: The approved budget will then get the legal status through the publication in the 'Negaretgazeta.' Spending public bodies will then formally be notified of their approved budget by line items from MOFEC for recurrent and capital budgets, respectively. MOFEC will notify spending public bodies through Form 3/1. Likewise, MOFEC will inform through Form 3/2. Both Forms will be copied to the Treasury Department of the MOFEC which disburse funds to spending public bodies. Until Form 3/1 is released spending public bodies are authorized to spend one-twelfth of the previous year's budget with no provision for new expenditures (e.g. new staff posts) in the case of recurrent budget. For capital budget spending public bodies are authorized to use approved budget for ongoing projects even when Form 3/2 is not released.

The final stage of the budgetary process is to request spending public bodies to prepare adjusted work plan and cash flow for the approved budget. The adjusted work plan and cash flow will be verified by MOFEC -for the recurrent budget-and by MOFEC -for the capital budget, and then will be sent to the treasury Department of the MOFEC.

Step Eleven - Supplementary Budget:

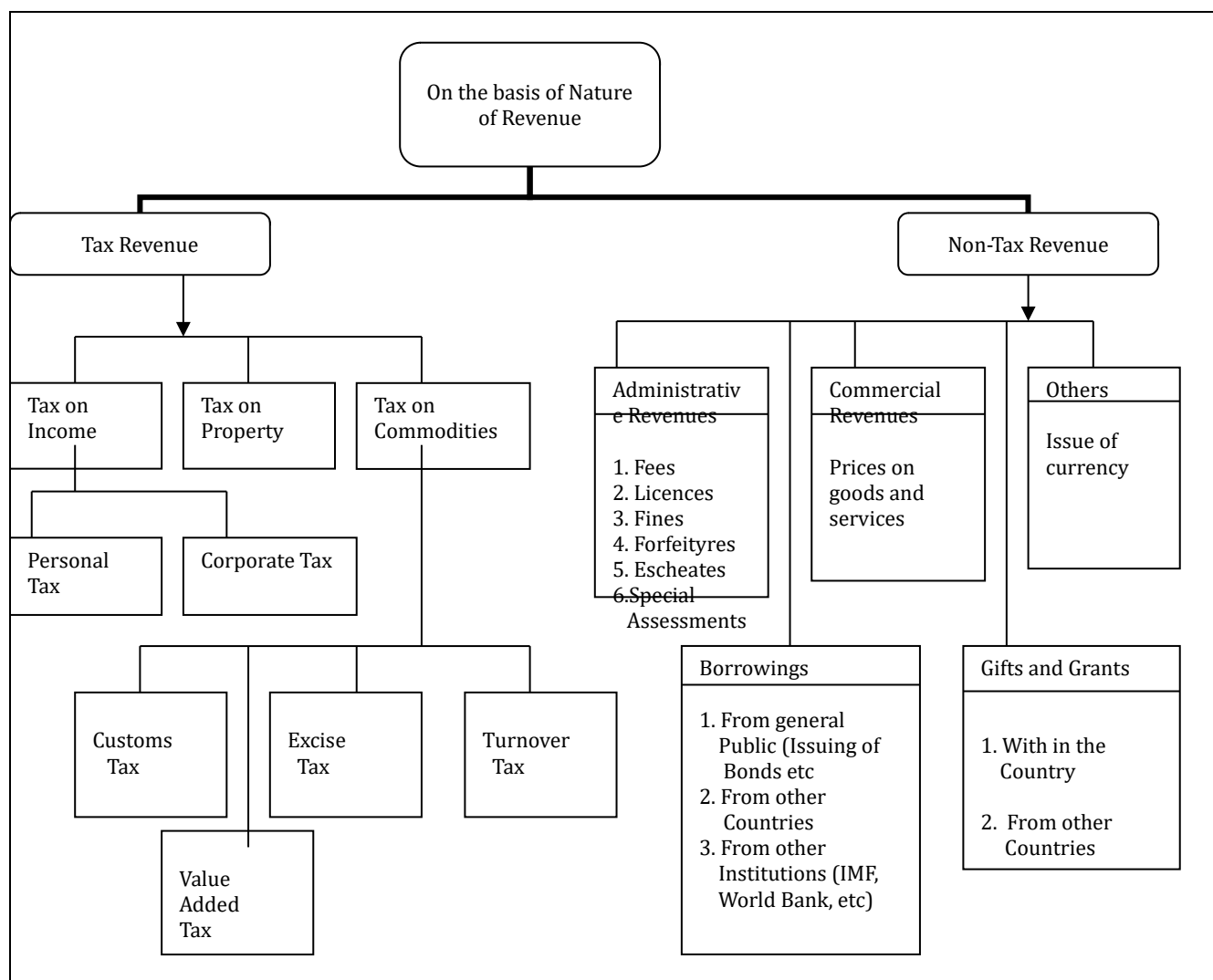
In the course of the budget year supplementary (additional) budget will be proclaimed when necessary, following almost the same process as the initial budget preparation. Likewise budget reallocation will be made mainly based on performance

2.3. Categories of Revenues in Ethiopia

The revenues of the Government can be classified into two ways. They are: On the basis of mode of collection and On the basis of nature of revenue.

The revenues on the basis nature can be classified as in the following Figure 1.2.

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Of these two types of classifications of revenues the classification of revenues based on the nature is considered as the ideal classification. Let us explain these items one by one.

Tax Revenue: The revenue from tax includes the following:

- 1. Tax on Income:** The Government imposes two types of taxes on income. They are:
 - a). Tax on personal income, and b). Tax on corporation profits.

The personal income tax is levied on the net income of individuals, firms and other association of persons. The tax on the net profits of the joint stock companies is known as corporation tax.

- 2. Taxes on Property:** It is the tax revenue from properties including rental income tax land use tax etc.

- 3. Taxes on Commodities:** The important taxes levied by the Government on commodities are:

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a) Customs Duty, b) Excise Duty, c) Value Added Tax d. Turnover Tax

- Customs Duty includes both import and export duties. These duties are levied when the goods cross the boundaries of the country.
- Excise duties are levied on the commodities produced in the country. Excise duties now constitute the single largest source of revenue to the Union Government.
- Value Added Tax is levied by the Government on the commodities sold at a specified percentage on the value of sales.
- Turnover Tax is levied by the Government on the sales which are not covered under VAT.

Non-Tax Revenues: The following categories of revenue are included under non-tax revenue.

Administrative Revenue: It includes the following:

- (1) **Fees:** It is the compulsory payment made by the individuals who obtain a definite service in return. Fees are charged by the Government to bear the cost of administrative services rendered by it. These services are rendered for the benefit of general public. It includes court fee, registration fee, etc.
- (2) **Licenses:** A license fee is collected not for any service rendered, but for giving permission or a privilege to those who want to do a special or specified work. It is charged on the grounds of control of certain activities.
- (3) **Fines and Penalties:** Fines and penalties are imposed as a form of punishment for the mistakes committed such as violation of the provisions of law, etc. The basic aim behind them is to prevent the people from making mistakes. A fine is also compulsory like a tax, but it is imposed more as a deterrent than as a source of revenue.
- (4) **Forfeitures:** Forfeiture means the penalty imposed by the courts on the persons who have not complied with the notice served by it or for the breach of contract or has failed to pay the dues in time, etc.
- (5) **Escheats:** The property of a person having no legal heirs and dying intestate, will be taken possession of by the Government. That is, the Government can take over the property of a person who dies without having any legal heirs or without keeping a will. But, it cannot be considered as a main source of revenue to the Government.

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(6) Special Assessment: According to Prof. Seligman, special assessment means “a compulsory contribution levied in proportion to the special benefit derived to defray the cost of the specific improvement to property undertaken in the public interest”. Thus, it is a compulsory payment or contribution. It is levied in proportion to the special benefits derived to bear the cost of specific improvement to property. Whenever the Government has made certain improvements, somebody will get benefited. For example, irrigation facility, road and drainage facility, etc.

Because of this, the value of the property in the neighborhood will rise. This rise in the value will provide an unearned increment. Hence, the Government has a right to appropriate a part of this unearned increase. This appropriation is called as special assessment.

(7) Gifts and Grants: Gifts are voluntary contributions from Non-Government donors to the Government for various purposes like drought relief, defense, national relief, promotion of family planning, etc. Grants are usually given by one Government to another. For example, in a federal set up, the Union Government provides grants to the State Governments to carry out their functions and fulfillment of obligations. Moreover, the Government of one country may receive grants from other country.

2.4. Fiscal policy in Ethiopia

What Is Fiscal Policy?

- *FISCAL policy is the use of government spending and taxation to influence the economy. Governments typically use fiscal policy to promote strong and sustainable growth and reduce poverty.*
- *The role and objectives of fiscal policy have gained prominence in the current crisis as governments have stepped in to support financial systems, jump-start growth, and mitigate the impact of the crisis on vulnerable group.*
- *Fiscal policy is the combined practices of government with respect to revenues, expenditures, and debt management.*

Fiscal policy is also called as **budgetary policy**. In broad terms, fiscal policy refers to that segment of national economic policy, which is primarily concerned with the receipts, and expenditures of these receipts and expenditures. It follows that fiscal policy relate to those

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activities of the state that are concerned with raising financial resources and spending them. Resources are obtained through taxation and borrowing both within the country and from abroad. Spending is done mainly on defense development and administration. Financial accounts of the income and expenditure position are shown in budgetary statement. Budget can act as an important tool of economic policy. The state by its policy of taxation-regulated expenditure can influence the economic activities and development.

Private outlay is insufficient to produce maximum national income. An increase in state outlay beyond its revenue can increase national income. Keynes emphasized the effects of government revenue and expenditure upon the economy as a whole and argued that they should be used deliberately and consciously to secure economic stabilization. This underscores the importance of budget in economic development.

Fiscal policy relates to the governments decision making with respect to the following: 1.Taxation 2.Government spending 3.government borrowing and 4.management of government debt. The policy relates to government decisions, which influence the degree and manner in which funds are withdrawn from private economy. Basically fiscal policy in these different facets deal with the flow of funds out of the private spending and saving stream into the hands of government and the recycle funds from government into the private economy. It is thus obvious that fiscal policy deals quite directly with matters, which immediately influence consumption and investment expenditure. Therefore, it influences the income, output and employment in the economy. Fiscal policy is primarily concerned with the aggregate effects of public expenditure and taxation on income output and employment. In developed economies the propensity to consume leads to stability. Excess saving by the community leads to lowering of demand for goods and services resulting in sub optimal employment level. Fiscal policy should balance the economy by sustaining the consumption in the economy.

In under developed and developing countries main objectives are rapid economic development and an equitable distribution of the income. Fiscal policy can be an important instrument for attaining these objectives. Fiscal policy influences the economy by the amount of public income that is received and on the other by the amount and direction of public expenditure. The important fiscal means by which resources can be raised for the public expenditure are taxation,

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borrowing from public and credit creation. These means must be used in harmonious combination so as to produce the best overall effects on the economic life of the people in terms of economic progress and social welfare.

2.3.1. Role of Fiscal Policy in the Economic Development:

1. In under developed and developing countries development is the main concern. The primary task of fiscal policy in an under developed and developing countries is to allocate more resources for investment and to restrain consumption.

2. The fiscal policy should reduce the economic inequalities of income and wealth. This can be achieved by taxation and public distribution measures. Poverty and unity cannot co exist. Therefore fiscal policy should attempt economic development of the socially unfortunate to bring about national unity. Private sector is not interested in investing in social and economic overheads. Investments in social and economic overheads like education, medical facilities, infrastructure, dams etc. are very essential to accelerate the rate of economic growth.

3. In under developed and developing countries the requirement of growth demands that fiscal policy has to be used progressively for raising the level of investments and savings rather than keeping the consumption level. In under developed and developing countries fiscal policy has to be used as an instrument of resource mobilization. In order to attain growth with stability the goal of fiscal policy should be promotion of highest possible rate of capital formation and should reduce the actual and potential consumption. Further fiscal policy should encourage private investment and attract foreign funds for development projects.

4. The existing pattern of investment may differ from the optimum pattern of investment. Thus it becomes a responsibility of government to undertake investments in such a way that it is most beneficial for the people of the country.

5. Fiscal policy should control inflation within tolerable levels since it mostly affects the poor. In under developed and developing countries there exist regional imbalances in addition to social inequalities. Fiscal policy should aim at reducing both regional and social imbalances by directing investments to less developed regions. Their marginal propensity to consume is very high. Therefore, a small increment in investment can bring manifold employment due to multiplier effect.

Fiscal policy should direct available resources for providing basic physical, infrastructural needs like irrigation, roads, basic industries, railways, ports, telecommunications etc. Fiscal policy

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should assign high priority to the creation of overhead capital. Spending of the government should also take care of education and health of the community. Returns on these investments are long-term and private sector cannot provide above investments.

Therefore, government of a country through its fiscal policy is able to increase rate of investment and also alter the pattern of investment. It follows that the main role of fiscal policy in an under developed and developing countries is to expand productive capacity by raising the level of real capital including skills as well as plants and equipment and to check the demand generating effect of expanding investment. In developed countries its role is to expand both production capacity as well as the level of aggregate monetary demand in relation to their economic growth. In under developed countries the better approach is to transfer resources to capital formation without inflation.

Fiscal policy through its different measures such as taxation policy, budgetary policy, public debt policy and a co-ordination with monetary policy can direct the economic destiny of a nation. Fiscal policy can be used to mitigate the effects of trade cycles such as inflation and depression

2.5. Budget Deficit:

A budget is considered as surplus or deficit according to the position of the revenue accounts of the government. Thus a surplus budget is one in which revenue receipts exceed expenditure charged to revenue account regardless of the gap in capital accounts; while a deficit budget is one in which expenditure is greater than current revenue receipts.

Budget deficit is the excess of total expenditure over total revenue of the government. The deficit financing denotes the direct addition to gross national expenditure through budget deficits whether the deficits are on revenue or capital accounts". It implies that the expenditure of the government over and above the aggregate receipt of revenue account and capital account is treated as budget deficit of the government.

The meaning of deficit financing is different in different countries. In western countries, the budget gap, that is covered by loans is called deficit financing because, if the government borrows from the banks rather than from individuals the idle funds will be activated and there will be an increase in the total public expenditure and thus there will automatically be an deficit financing has been used in a different sense,. Here it is used to denote the direct addition to gross national expenditure as a result of budget deficit. Thus deficit financing can be defined as

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“the financing of a deliberately created gap between public revenue and public expenditure”. The government of Ethiopia has used deficit financing for acquiring funds to finance economic development. When the government cannot raise enough financial resources through taxation, it finances its developmental expenditure through borrowing from the market or from other sources.

2.5.1. Methods of Financing Deficit:

There are four important techniques through which the Government may finance its budgetary deficits. They are as follows:

1. Borrowing from central bank
2. The running down of accumulated cash balances
3. The government may issue new currency
4. Borrowing from market or from external sources.

Under the first method, government borrows from central bank as per budgetary policy. In the second source, government spends from available cash balance,. In the third measure, government issues new currency for financing deficit. The last method is that government borrows from internal and external sources to finance its deficit.

2.5.2. Objectives of Deficit Financing:

1. Deficit financing has generally been used as a method of meeting the financial needs of the government in times of war, when it is considered difficult to mobilize adequate resources.
2. Keynes advocated deficit financing as an instrument of economic policy to overcome conditions of depression and to raise the level of output and employment.
3. The use of deficit financing has also been considered essential for financing economic development especially in under developed countries.
4. Deficit financing is also advocated for the mobilization of surplus idle and unutilized resources in the economy.

2.5.3. Effects of Deficit Financing:

Deficit financing has both positive and negative effects in the economy as under:

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1. Inflationary rise in prices: The most serious disadvantage of deficit finance is the inflationary rise of prices. Deficit financing increases the total volume of money supply. Unless there is proportional increase in production this can lead to inflation. When deficit financing goes too far it becomes self-defeating. There was inflationary pressure during the decade due to deficit financing.

2. Effects on distribution of wealth and income: The real income of wage earners gets reduced and that of entrepreneurs/ businessmen increased, leading to distribution of wealth in favour of business class

3. Faster growth: Country is able to implement the developmental plans through deficit financing thereby attaining faster growth.

4. Change in pattern of Investment: Deficit financing leads to encouragement for investment in certain fields like construction, luxury consumption inventory holding and speculation. This may lead to investment in undesirable fields.

5. Credit creation in banks: Inflationary forces created by deficit financing are reinforced by increase credit creation by banks.

Among various fiscal measures, deficit financing has been assigned an important place in financing developmental plan and various developing countries including Ethiopia resort to deficit financing to meet budgetary gaps.

2.5.4. Deficit financing in Ethiopia:

Deficit financing in Ethiopia was mainly resorted to enable the Government of Ethiopia to obtain necessary resources for the plans. The levels of outlay laid down were of an order, which could not be met only by taxation or through a revenue surplus. The gap in resources is made up partly through external assistance. But when external assistance is not enough to fill the gap, deficit financing has to be undertaken. The targets of production and employment in the plans are fixed primarily with reference to what is considered as the desirable rate of growth for the economy. When these targets cannot be achieved through resources obtained from taxation and external borrowing, additional resources have to be found. Deficit financing is the easier option. It is important to emphasize the fact that deficit financing cannot create real resources which do not exist in the economy.

2.6. Public debt:

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This category deals with the causes, methods and problems of public borrowings and its management. This includes both internal debt and external debt.

a. Internal debt:

Increasing need of government for funds cannot be fully met by taxation alone in under developed and developing countries due to limited scope of taxation. Government therefore has to resort to alternate sources. Rising of debt is one such source. Debt, though involves withdrawal of resources by curtailing private consumption, has certain advantages.

- *Transfer of funds from public to government is voluntary.*
- *Loans do not reduce the wealth of the lenders.*
- *Debt raised for productive purpose will not be a burden on the economy.*

There are many objectives of creation of public debt.

- Debt may be raised to meet the normal current expenditure, exigencies like war, finance productive government enterprise, finance public social welfare and economic development. Capital receipts mainly consist of market borrowings, small savings and external loans, disinvestments of PSUs and recoveries of loans.

b. External Debt:

In under developed and developing countries, internal sources are limited. Under developed and developing countries, therefore go for external debt. The transfer of capital at international level may take the form of:

- ii) Financial aid through grants and loans
- iii) Commodity aid
- iv) Technical assistance

External debt is an immediate source of funds for development. However, such debt has following drawbacks.

- i) Political subordination
- ii) Other obligation
- iii) Excess supply of goods and services in debtor country

However, such external inflows help to achieve faster growth.

